14.7.2 Codification of accounts

Code is an identification mark. Generally, computerised accounting involves codification of accounts. Codification of accounts is needed where there are numerous accounts heads in an organisation. There is a hierarchical relationship between the groups and its components. In order to maintain the hierarchical relationships between a group and its sub-groups, proper codification is required.

The coding scheme of account heads should be such that it leads to grouping of accounts at various levels so as to generate various reports. For example, the codes for various accounts may be allotted as follows:

1 Liabilities and Capital 2 Assets 3 Revenues 4 Expenses

Under Liabilities and Capital

11 Capital 12 Non-current liabilities 13 Current liabilities

Under Assets

21 Non-current assets 22 Current assets

The above codification scheme utilises the hierarchy present in grouping of accounts. Major advantage of such coding is that if the account codes are listed in ascending order, these will be automatically listed as per the desired hierarchy.

14.7.3 Methods of codification

Following are the three methods of codification.

a. Sequential codes

In sequential code, numbers and/or letters are assigned in consecutive order. These codes are applied primarily to source documents such as cheques, invoices, etc. A sequential code can facilitate document search. For example:

Code	Accounts
CL001	ABC LTD
CL002	XYZ LTD
CL003	SCERT

b. Block codes

In a block code, a range of numbers is partitioned into a desired number of sub-ranges and each sub-range is allotted to a specific group. In most of the cases of block codes, numbers within a sub-range follow sequential coding scheme, i.e., the numbers increase consecutively. For example:

Code	Dealer type
100 – 199	Small pumps
200 – 299	Medium pumps
300 – 399	Pipes
400 – 499	Motors

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